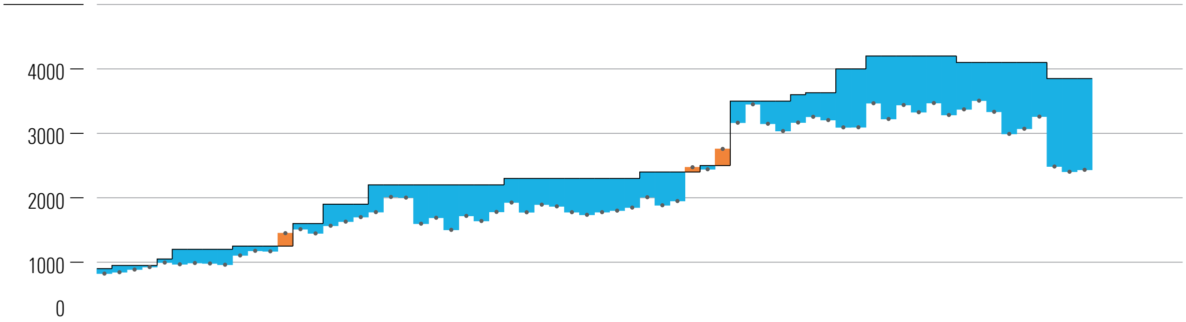
Morningstar Equity Analyst Report | Report as of 1 Jun 2022 23:44, UTC | Reporting Currency: USD | Trading Currency: USD | Exchange: NASDAQ - ALL MARKETS

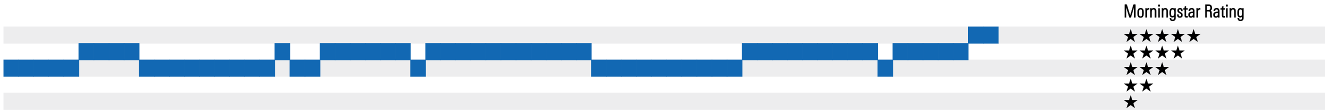
Amazon.com Inc AMZN ★★★★ 1 Jun 2022 21:32, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Moat Trend™	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
2,433.68 USD 1 Jun 2022	3,850.00 USD 29 Apr 2022 03:59, UTC	0.63	1.22 USD Tril 1 Jun 2022	Wide	Stable	High	Exemplary	4 May 2022 05:00, UTC

Price vs. Fair Value



	2017	2018	2019	2020	2021	YTD	
	0.94	0.68	0.80	0.90	0.81	0.63	Price/Fair Value
	55.96	28.43	23.03	76.26	2.38	-27.01	Total Return %



Total Return % as of 1 Jun 2022. Last Close as of 1 Jun 2022. Fair Value as of 29 Apr 2022 03:59, UTC.

Contents

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Amazon's Profitability Hit by Inflation, Excess Capacity; Guidance Doesn't Help; FVE Down to $3,850

Analyst Note Dan Romanoff, CPA, Senior Equity Analyst, 29 Apr 2022

We are lowering our fair value estimate to $3,850 per share, from $4,100, for wide-moat Amazon after it reported a mixed quarter and issued worse than expected guidance for the second quarter. The highlight of results was strength in AWS, which continues to benefit from the ongoing shift of enterprise workloads to the cloud. While revenue was ahead of the guidance midpoint, first-party sales suffered its second straight quarter of year-over-year contraction, which we believe is a first but is not a surprise. Operating margin was a concern, as inflation, excess labor, and excess capacity ate into profitability, which came in just above the low end of guidance and was well short of our expectations. Meanwhile, second-quarter guidance is well short of our model, as we think profitability challenges will linger for a couple of quarters and perhaps into next year; Prime Day will move into the third quarter, and demand levels have not yet normalized post-COVID-19. While we expect the second half of the year to show improvements, we modestly lowered our growth and profitability estimates, particularly in the near term, to account for guidance and heightened uncertainty.

First-quarter revenue grew 7% (8% in constant currency) year over year to $116.4 billion, compared with guidance of $112 billion to $117 billion. Pandemic-fueled growth last year in online stores and third-party seller services continued to slow to a 3% decline and 7% growth year over year in the quarter, respectively, while physical stores continue to benefit from consumers leaving their homes to shop and grew by 17% year over year. Unit growth was flat, but we view this as a mix issue as shopping habits

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Sector	Industry
Consumer Cyclical	Internet Retail

Business Description

Amazon is a leading online retailer and one of the highest-grossing e-commerce aggregators, with $386 billion in net sales and approximately $578 billion in estimated physical/digital online gross merchandise volume, or GMV, in 2021. Retail related revenue represents approximately 80% of total, followed by Amazon Web Services' cloud computing, storage, database, and other offerings (10% to 15%), advertising services (5%), and other the remainder. International segments constitute 25% to 30% of Amazon's non-AWS sales, led by Germany, the United Kingdom, and Japan.

normalize. Amazon noted no consumer slowdown as macro factors such as inflation and the Russian invasion loom large. Compared with the year-ago period, subscription services slowed to 11% growth, AWS posted strong 37% growth, and advertising decelerated to 23% growth.

Business Strategy & Outlook Dan Romanoff, CPA, Senior Equity Analyst, 29 Apr 2022

Amazon dominates its served markets, notably for e-commerce and cloud services. It benefits from numerous competitive advantages and has emerged as the clear e-commerce leader given its size and scale, which yield an unmatched selection of low-priced goods for consumers. The secular drift toward e-commerce continues unabated with the company continuing to grind out market share gains despite its size. Prime ties Amazon’s e-commerce efforts together and provides a steady stream of high margin recurring revenue from customers who purchase more frequently from Amazon’s properties. In return, consumers get one-day shipping on millions of items, exclusive video content, and other services, which result in a powerful virtuous circle where customers and sellers attract one another. The Kindle and other devices further bolster the ecosystem by helping attract new customers, while making the value proposition irresistible in retaining existing customers. Through Amazon Web Services (AWS), Amazon is also a clear leader in public cloud services.

Additionally, the firm’s advertising business is already large and continues to scale, thus offering an attractive option for marketers looking to access a vast audience with a variety of proprietary data points about those very consumers. AWS, advertising, and subscriptions are growing faster than e-commerce with the exception of the 2020 spike in online shopping. We expect these three areas to be the main growth drivers over the next five years. This is critical, as each of these segments drives higher margins than the corporate average, which in turn should allow both operating profit and EPS to outgrow revenue as margins continue to expand.

From a retail perspective, we expect continued innovation to help drive further share gains. We also look for continued penetration into categories such as groceries and luxury goods that have not previously translated into the same level of success as other retail categories. We also see technology advancements in AWS and a bigger push to service enterprise customers as helping to maintain the company’s lead there. Overall, we see strong revenue and free cash flow growth for years to come.

Bulls Say Dan Romanoff, CPA, Senior Equity Analyst, 28 Apr 2022

- Amazon is the clear leader in e-commerce and enjoys unrivaled scale to continue to invest in growth opportunities and drive the very best customer experience.
- High margin advertising and AWS are growing faster than the corporate average, which should continue to boost profitability over the next several years.
- Amazon Prime memberships help attract and retain customers who spend more with Amazon and

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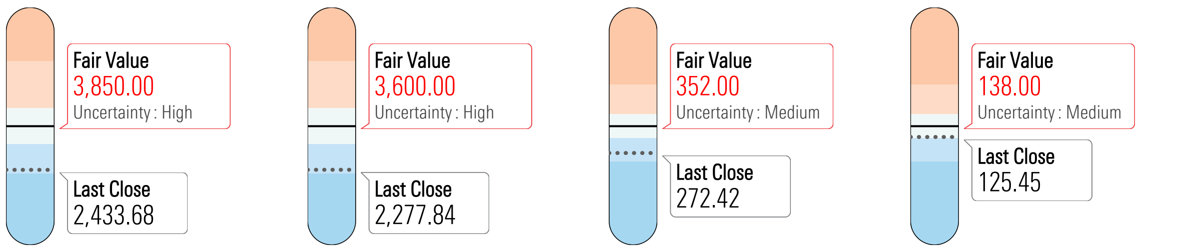
Competitors



	Amazon.com Inc AMZN	Alphabet Inc Class A GOOGL	Microsoft Corp MSFT	Walmart Inc WMT
Economic Moat	Wide	Wide	Wide	Wide
Moat Trend	Stable	Stable	Stable	Stable
Currency	USD	USD	USD	USD
Fair Value	3,850.00 29 Apr 2022 03:59, UTC	3,600.00 2 Feb 2022 04:18, UTC	352.00 26 Jan 2022 02:16, UTC	138.00 19 May 2022 20:37, UTC
1-Star Price	5,967.50	5,580.00	475.20	186.30
5-Star Price	2,310.00	2,160.00	246.40	96.60
Assessment	Significantly Undervalued 31 May 2022	Under Valued 31 May 2022	Under Valued 31 May 2022	Fairly Valued 31 May 2022
Morningstar Rating	★★★★1 Jun 2022 21:32, UTC	★★★★1 Jun 2022 21:32, UTC	★★★★1 Jun 2022 21:32, UTC	★★★1 Jun 2022 21:32, UTC
Analyst	Dan Romanoff, Senior Equity Analyst	Ali Mogharabi, Senior Equity Analyst	Dan Romanoff, Senior Equity Analyst	Zain Akbari, Equity Analyst
Capital Allocation	Exemplary	Exemplary	Exemplary	Standard
Price/Fair Value	0.63	0.63	0.77	0.91
Price/Sales	2.59	5.67	10.67	0.62
Price/Book	9.13	5.90	12.48	4.60
Price/Earning	57.99	20.58	28.38	27.72
Dividend Yield	—	—	0.89%	1.69%
Market Cap	1,223.06 Bil	1,499.98 Bil	2,033.32 Bil	354.09 Bil
52-Week Range	2,025.20—3,773.08	2,037.69—3,030.93	243.00—349.67	117.27—160.77
Investment Style	Large Growth	Large Growth	Large Growth	Large Core

reinforces a powerful network effect while bringing in recurring and high margin revenue.

Bears Say Dan Romanoff, CPA, Senior Equity Analyst, 28 Apr 2022

- Regulatory concerns are rising for large technology firms, including Amazon. Further, the firm may face increasing regulatory and compliance issues as it expands internationally.
- New investments, notably in fulfillment, delivery, and AWS should dampen free cash flow growth. Also, Amazon’s penetration into some countries might be harder than in the U.S. due to inferior logistic networks.
- Amazon may not be as successful in penetrating new retail categories, such as luxury goods, due to consumer preferences and an improved e-commerce experience from larger retailers.

Economic Moat Dan Romanoff, CPA, Senior Equity Analyst, 28 Apr 2022

We assign a wide-moat rating to Amazon.com based on network effects, cost advantages, intangible assets, and switching costs. Amazon has been disrupting the traditional retail industry for more than two decades now, while also emerging as the leading infrastructure-as-a-service, or IaaS, provider via Amazon Web Services, or AWS. This disruption has been embraced by consumers and has driven change across the entire industry as traditional retailers have invested heavily in technology in order to keep pace. COVID-19 has accelerated change, and given its technological prowess, massive scale, and relationship with consumers, we think Amazon has widened its lead, which we believe will result in economic returns well in excess of its cost of capital for years to come.

We believe Amazon's retail business has a wide moat stemming from network effects associated with its marketplace where more buyers and sellers continually attract more buyers and sellers; a cost advantage tied to purchasing power, logistics, vertical integration (proprietary brands, owned delivery, and so on), and a negative cash conversion cycle; and intangible assets associated with technology and branding. We also believe AWS is a wide-moat business, thanks to high customer switching costs; a cost advantage associated with economies of scale where few competitors can keep up with Amazon's investment pace; intangible assets arising from semiconductor and facility development; and a network effect associated with a marketplace for software created to make AWS work better for them. We also would assign Amazon's burgeoning advertising business a narrow moat based on intangible assets from its proprietary data on hundreds of millions of users and a network effect again focusing on buyers and sellers meeting in the largest available venues. Finally, we believe that the wide moat for Amazon's entire business is greater than the sum of its parts, and we prefer to analyze Amazon's moat on the whole, as Amazon's segments reinforce one another and returns result in an unrivaled consumer experience.

Together, we believe Amazon's retail business enjoys a wide moat supported by cost advantages, intangible assets, and network effects. We assess the moat around Amazon's retail business based on a combination of online stores, third-party seller services, subscription services, and physical stores, as we find it challenging to think about sustainable competitive advantages for each of these segments in isolation. Most obviously, given its massive scale, Amazon has created cost advantages including buying power, economies of scope, route density, and research and development. From a total gross merchandise value, or GMV, perspective, with approximately $580 billion in 2021, finally surpassing Walmart. Similarly, Amazon is the largest online retailer and is an order of magnitude larger than Walmart and 4 times larger than Shopify, assuming we classify Shopify as a demand aggregator for our immediate purposes. Additionally, the company has become more vertically integrated over time, and most recently has built out its own transportation network. Size dictates certain scales of efficiency, but we think Amazon has become the definition of operational excellence.

Again, these advantages are related and reinforce one another in a virtuous circle. Low prices and an unmatched selection have come to define the company in consumer's minds, giving rise to intangible assets from branding and technology (search capabilities and recommendation engine). Product searches are more likely to begin on Amazon at this point than they are Google. Amazon, in fact, has become the only demand aggregator at scale within the U.S. because of its wide selection, intelligent recommendation algorithms, low prices, and convenience, which combine into a powerful business model.

We also believe Amazon's retail business benefits from network effects. The sheer number of consumers shopping on Amazon makes it attractive to third party sellers, while the marketplace expands the selection available to shoppers and makes Amazon a more attractive online destination for consumers. In fact, 50% to 55% of total goods sold by Amazon are through the firm's third-party marketplace. At the heart of third-party seller services is the commission Amazon collects from the independent seller. However, these services also include fulfillment by Amazon, or FBA, distribution facility storage, shipping, payment processing, and other related items.

To further improve the consumer experience and more tightly tie users to Amazon, the company has moved increasingly into content. Consumers can now have Prime Video, Music Unlimited, Kindle Unlimited, Prime Gaming, and other similar subscription services. The company even produces original content for Prime Video to help reinforce the notion that consumers can get anything they need from Amazon. We view the Kindle, Echo, Fire, and other Amazon original devices as interesting on their own merits, but think the underlying point is to once again draw in more consumers to Amazon's retail properties and engage those customers that are already within the ecosystem. Amazon's hardware helps to enable Amazon's services. The Kindle, for example, dovetails perfectly with Kindle Unlimited, which for a $9.99 monthly subscription, allows users to read from a selection of more than one million book titles. The company even offers a direct to Kindle book publishing service.

The common thread that weaves throughout Amazon's retail business is Amazon Prime, which for $139 per year allows users to have unlimited free shipping on millions of stock-keeping units, or SKUs, including same-day or one-day shipping on many items, access to Prime Video, Prime Music, and a variety of other benefits. We view Prime subscriptions and the differentiated user experience they offer as critical to attracting and retaining customers. Prime memberships generate high cash flow that can be reinvested in further improving the user experience on the technology, content, and delivery fronts. Prime customers are very sticky and tend to purchase from Amazon more frequently and across more retail categories. We think content combined with Prime subscriptions actually build a switching cost that consumers would need to overcome, although these switching costs might not last for decades in order to warrant it as a moat source.

Advertising is tangentially related to Amazon's retail operations in that it takes place on Amazon's own online properties. Advertising is growing rapidly and is likely the segment with the highest operating margins in Amazon's portfolio, likely in excess of 30%, which is would be directionally comparable to margins earned by Facebook when it was a similarly sized business (Other was $21 billion in revenue in 2020, compared with $18 billion in revenue for Facebook in 2015). We believe advertising dollars flow to where the eyeballs are and where information is known about the online user, which fits in very well with Amazon's strengths. We therefore expect advertising to grow rapidly over the next several years and continue to boost the company's overall profitability.

Looking at advertising in isolation, we would likely assign it with a narrow moat rating based on intangible assets arising from proprietary technology (data), and network effects, although we acknowledge that assigning a moat rating here is difficult because Amazon doesn't disclose much about this business. That said, we can see Amazon's advertising becoming a wide-moat business as it becomes more established and more details are disclosed. We think Amazon's advertising business is attractive to advertisers because there is proprietary information about the consumers and real-time data about when they are searching for a particular product, and Amazon already enjoys substantial traffic. We expect this business to continue to grow rapidly and offer an attractive alternative to platforms from social network and internet search providers.

Amazon Web Services, or AWS, enjoys a wide moat, supported by switching costs, network effects, intangible assets, and cost advantages. Amazon was a pioneer in public cloud infrastructure as a service, or IaaS, and platform as a service, or PaaS, and retains a substantial lead over its closes rival, Microsoft. AWS has driven profitability for the entire company—although it represents 10% to 15% of revenue, it generates 60% to 65% of total operating profit dollars for Amazon. We also expect AWS to remain a key growth driver for the company over the next decade.

AWS differs from the company's e-commerce operations in that it is enterprise-facing rather than consumer facing. Enterprise customers rely on AWS for core IT infrastructure, which represents significant switching costs in terms of the time and expense of integrating applications with core software elements, such as the database, and dedicates a user to a specific set of software development tools. Ultimately, the operational risks to changing mission critical technology infrastructure is high, which is why core elements such as ERP systems and cloud providers are rarely changed.

Further, we believe it is cheaper initially for companies to move workloads to the cloud, as there are less upfront costs and a lower bar to clear for maintenance and administration. Additionally, Amazon has devoted significant R&D resources to adding advanced features to the platform. Along those lines, Amazon Web Services offers scale advantages to clients in that it is cheaper and faster to set up IT infrastructure in the cloud compared with undertaking the same effort independently. Customers also benefit from the ability to scale up compute power for burst requirements, paying for only what they need and having it available effectively on-demand. We have seen some of the largest technology companies in the world simply fail to keep pace with Amazon's massive investments in IaaS over the years, and AWS' cost advantage over its rivals is obvious. Those firms struggle to compete in a meaningful way against AWS.

Amazon has also amassed significant technology and process knowledge, which we believe is an intangible asset for the firm as a whole and also for AWS. These assets could also apply to the logistics aspect of the retail business. The company expanded its distribution network by roughly 50% in 2020 while managing through a global pandemic. Given the size of its footprint, this is a monumental achievement and speaks to the company's ability to quickly plan, construct, and expand facilities based on specific needs. The knowledge base to quickly and efficiently bring massive server farms online for AWS is similarly impressive and only comes from the experience of previously building hyper scale data centers. Additionally, the firm designs its own semiconductors that are used to power its server arrays and has also developed proprietary robotic automation technology used in its fulfilment centers.

Lastly, like other large software companies, we see a network effect within AWS' ecosystem for third-party software, although we view this as more of secondary moat source. The large ecosystem of AWS users has benefited from the software development efforts of those same users, as they turnaround and offer applications written on AWS for AWS users. Thus, users help attract other users to AWS. We see Microsoft and Salesforce in particular as the best comparable examples within software of creating network effects.

Taken together, we think network effects, intangible assets, cost advantages, and switching combine to form a powerful moat for all of Amazon. We think many of these areas reinforce one another and see little difficulty in Amazon continuing to deliver returns on invested capital well in excess of its cost of capital over the long term.

Fair Value and Profit Drivers Dan Romanoff, CPA, Senior Equity Analyst, 28 Apr 2022

Our fair value estimate for Amazon is $3,850 per share, which implies a 2022 enterprise value/sales multiple of 3.7 times, and a 1.6% free cash flow yield. We think multiples are a little less meaningful for Amazon given the ongoing heavy investment and rapid scaling that depresses financial performance. However, we expect the company to significantly grow its free cash flow as it matures.

Over the long term, we expect e-commerce to continue to take share from brick-and-mortar retailers. We further expect Amazon to gain share online. We believe that over the medium term, COVID-19 pulled forward some demand by changing consumer behavior and better penetrating some retail categories, such as groceries, pharmacy, and luxury goods, that previously had not gained as much traction online. We think Prime subscriptions and the accompanying benefits, combined with selection, price, and convenience continue to drive the retail story. We also see international as being a longer-term opportunity within retail. We model total retail-related revenue growing at a 11% compound annual growth rate (CAGR) over the next five years.

We believe the critical growth drivers over the medium term will be AWS and advertising. Since these segments earn materially higher margins than the rest of the business, we also expect them to drive margins higher over time. Over the next five years, we project AWS revenue growing at a 25% CAGR and advertising revenue growing at a 19% CAGR. In total, Amazon should grow at a 14% CAGR through 2026.

Our near-term forecast includes a gradual easing of some COVID-19-related expenses, which totaled more than $10 billion in 2021, with ripple effects lingering throughout 2022. We model GAAP operating margin expanding from 5% (actual) in 2021 to 6% in 2026.

Risk and Uncertainty Dan Romanoff, CPA, Senior Equity Analyst, 28 Apr 2022

We believe that the uncertainty for Amazon is high and that despite being an e-commerce leader, the company faces a variety of risks.

Amazon must protect its leading online retailing position, which can be challenging as consumer preferences change, especially post-COVID-19 (as consumers may revert back to prior behaviors), and traditional retailers bolster their online presence. Maintaining an e-commerce edge has pushed the company to make investments in non-traditional areas, such as producing content for its Prime Video subscriptions and building out its own transportation network. Similarly, the company must also maintain an attractive value proposition for its third-party sellers. Some of these investment areas have raised investor questions in the past, and we expect management to continue to invest according to its strategy, despite periodic margin pressure from increased spending.

The company must also continue to invest in new offerings. AWS, transportation, and physical stores (both Amazon branded and Whole Foods) are three notable areas of investment. These decisions require capital allocation and management focus and may play out over a period of years rather than quarters.

Continued international expansion will likely require similar investment and management attention but will also increase exposure to different regulatory environments. Some countries have instituted or may institute protectionist policies. Even domestically over the last several years, lawmakers from both parties have increasingly focused on the amount of market power large technology companies have accrued. Antitrust, data privacy, and section 230 have been repeatedly invoked.

From an ESG perspective, data breaches and service outages are a concern for any type of cloud service provider. As a retailer, Amazon has personal information for hundreds of millions of consumers around the world, while AWS hosts proprietary mission critical data for enterprises.

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Capital Allocation Dan Romanoff, CPA, Senior Equity Analyst, 3 Feb 2022

We assign Amazon an Exemplary Capital Allocation rating. The rating reflects our assessments of a sound balance sheet, exceptional investments, and appropriate shareholder distributions. We think investments back into the business are most likely to be the key driver of total shareholder returns and are therefore appropriately prioritized over other capital returns such as dividends and buybacks, which Amazon does not offer.

The balance sheet is sound with a net cash position and only modest gross debt. We expect the balance sheet to remain sound as the company has typically maintained a conservative balance sheet and generates more than enough free cash flow from AWS and advertising to fund growth throughout the business.

Management's track record of investing in areas that investors were initially skeptical of but were ultimately vindicated has been remarkable. Chairman and CEO Jeff Bezos founded the company in 1994 and has led the company until he stepped down in 2021 but remains on the board of directors. He has been succeeded by Andy Jassy, former CEO of AWS. We note Mr. Bezos remains actively involved with the company as the executive chairman of the board, and that Mr. Jassy has been at the company for 23 years and was a driving force behind the foundation and growth of AWS. We think Mr. Jassy will carry on Mr. Bezos' focus on the customer and continue to explore areas that were ignored or not yet defined. Thus far the results have been breathtaking. From humble beginnings, Mr. Bezos has built Amazon into one of the largest companies in the world. On the e-commerce side, the company has evolved from selling books to selling everything, including groceries, delivering purchases the same day they are ordered, and moving into retail categories that were long thought to be beyond the reach of online shopping. The stickiness of Prime members, the financial stability of subscriptions, the tech world shakeup via AWS, the Kindle—the innovation has been dramatic, and shareholders have been rewarded along the way. Ultimately, we assess investment as exceptional.

Amazon's capital deployment strategy centers around re-investing in the business and making generally small tuck-in acquisitions. The company does not pay a dividend or repurchase shares, nor do we expect them to over the next several years.

Analyst Notes Archive

Amazon Delivers Mixed Quarter, Light Guidance, and Prime Price Hike; FVE Steady at $4,100 Dan Romanoff, CPA, Senior Equity Analyst, 4 Feb 2022

We are maintaining our fair value estimate for wide-moat Amazon at $4,100 per share, and despite shares rising 14% after hours, we still view shares as undervalued. We think the highlight of the quarter was Amazon's plan to raise prices in the U.S. on Prime to $139 from $119, beginning on Feb. 18 for new members, underscoring Amazon's pricing power and highlighting Prime as a revenue driver. Meanwhile,

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Amazon will continue to invest heavily in Amazon Web Services, or AWS, fulfilment capacity and delivery, although we see these beginning to ease in the second half of 2022. Overall, we do not see issues with the long-term story as Amazon remains well positioned to prosper from the secular shift toward e-commerce and the public cloud over the next decade.

Fourth-quarter revenue grew 9% (10% in constant currency) year over year to $137.4 billion, compared with guidance of $130 billion to $140 billion. Pandemic-fueled growth last year in online stores and third-party seller services continued to slow to a 1% decline and 11% growth year over year in the quarter, respectively, while physical stores enjoyed the benefit of easing lockdowns and grew by 17% year over year. The company continues to suffer from labor issues and increasing shipping costs, although the impact from these items came in as expected for the quarter. Still, operating profit came in better than we anticipated and above the high end of the guidance range.

Compared with the year-ago period, subscription services slowed to 15% growth, AWS accelerated again to 40% growth, and advertising decelerated to 32% growth. Management broke out advertising revenue as a distinct segment for the first time—we were pleased to see that it was 93% of the "other" segment and was higher than our prior estimates. Performance of AWS remains impressive with a fourth straight quarter of acceleration off of a $13 billion revenue base a year ago. We continue to view advertising and AWS as key long-term drivers for shares.

Wage and Shipping Inflation Crimping Amazon’s Near-Term Margins; FVE Down to $4,100 Dan Romanoff, CPA, Senior Equity Analyst, 29 Oct 2021

We are lowering our fair value estimate for wide-moat Amazon to $4,100 per share from $4,200, based mainly on margin pressures arising from hiring and shipping challenges, which we think may pressure profitability in the near term and, to a lesser extent, the long term. That said, we see shares as attractive. Amazon reported third-quarter results that came in above the midpoints of its guidance range for both revenue and operating income but were still shy of investor expectations. Guidance for the fourth quarter was modestly below our expectations but has little bearing on our long-term view. Meanwhile, the company continues to rapidly add capacity in order to meet customer demand and one day delivery, even as it roughly doubled its footprint during the past two years. We don’t see issues with the long-term story as Amazon remains well positioned to prosper from the secular shift toward e-commerce and the public cloud over the next decade, but we do see a modest reset in terms of growth and profitability through the next several quarters.

Third-quarter revenue grew 15% (15% in constant currency) year over year to $110.8 billion, compared with FactSet consensus of $111.6 billion and guidance of $106 billion to $112 billion. Surging growth last year in online stores and third-party seller services slowed to 3% and 19% year over year gains in the third quarter, respectively, while physical stores accelerated to 13% growth. This shift succinctly captures the dynamics of the end of COVID-driven lockdowns. On a year over year basis, subscription services slowed to 24% growth, AWS accelerated to 39% growth, and other decelerated to 50% growth. Performance of AWS was staggering with acceleration from a $12 billion base a year ago. We continue to view advertising (in "other") and AWS as key long-term growth drivers for the firm.

Amazon E-Commerce Growth Slows as COVID-19 Eases; Other Segments Still Strong; FVE Steady at $4,200 Dan Romanoff, CPA, Senior Equity Analyst, 30 Jul 2021

Wide-moat Amazon reported second-quarter results that were within its guidance range but were slightly short of investor expectations for both revenue and operating profit. Guidance for the third quarter is also light compared with FactSet consensus. In short, consumers' online shopping levels are returning to more normal levels as they shift some spending to other entertainment sources and offline shopping. Meanwhile, the company continues to add capacity at a breakneck pace in order to meet customer demand and one day delivery, even as it roughly doubled its footprint during the last 18 months. We see no cracks in the long-term story as Amazon remains well positioned to prosper from the secular shift toward e-commerce and the public cloud over the next decade. We note revenue weakness was limited to Amazon's own online store segment, with other segments performing well and overall profitability impressive despite lower revenue. Our model changes are fairly modest, thus we are maintaining our $4,200 per share fair value estimate and see shares as undervalued.

Second-quarter revenue grew 27% (24% in constant currency) year over year to $113.1 billion, compared with FactSet consensus of $115.3 billion and guidance of $110 billion to $116 billion. Meteoric growth in online stores from the last four quarters slowed to a more pedestrian 16% year-over-year increase while physical stores recovered from a year of declining revenue and grew 11% year over year. Still, third party seller services grew 38% year over year despite a marked slowdown, as the solution remains attractive to merchants. Subscription services, AWS, and other remained strong, with year-over-year growth of 32%, 37%, and 88%, respectively. We continue to view advertising (in "other") and AWS as key long-term growth drivers for the firm. In particular we see AWS as the clear leader in public cloud and we think Amazon's advertising business offers a unique value proposition for marketers.

Amazon Expands Video Library With MGM Studios Acquisition; FVE Still $4,200 Dan Romanoff, CPA, Senior Equity Analyst, 26 May 2021

On May 26, wide-moat Amazon formally announced the acquisition of privately held MGM Studios for $8.45 billion; the deal had been rumored for several days. No timing has been provided, but we do not expect regulatory delays. While the deal is immaterial relative to Amazon's $1.6 trillion market cap and we are not adjusting our $4,200 fair value estimate, we see this move as strategically important as the company adds more content to its Amazon Prime Video library. MGM's content spans movies, scripted and unscripted television, video games, and podcasts. Notably, MGM owns a variety of franchises including James Bond, Rocky, Pink Panther, The Handmaid's Tale, and Real Housewives and boasts a catalog of more than 4,000 movies and 17,000 TV episodes. We think Amazon must continue to expand its content library to remain one of the relevant streaming players. We can envision the company justifying an increase in Prime membership prices next year based on the MGM acquisition.

We believe Amazon remains well positioned to prosper from the shift toward e-commerce during the COVID-19 pandemic in the near term, with particular strength in groceries and staples, but also from the secular shift toward e-commerce in the long term, and we see content as a differentiator for Prime members. We expect some content to be made available for free to Prime members, as Amazon has continued to expand benefits for this important group of consumers who shop more frequently on Amazon.com, purchase from more retail categories, and spend more overall with Amazon. Amazon's subscription services generated $25.2 billion in revenue in 2020, representing 7% of total revenue and up 31% over 2019. We think most of this is Prime memberships, but we also see other paid subscriptions, including Kindle Unlimited, Prime Video, and Amazon Music Unlimited, as growing faster within the mix.

Amazon Shows Strength Across the Board and Provides a Constructive Outlook; FVE Up to $4,200

Dan Romanoff, CPA, Senior Equity Analyst, 30 Apr 2021

Wide-moat Amazon continued its string of impressive results in the first quarter, with revenue and operating profit both topping the high end of guidance. Guidance for the second quarter is better than FactSet consensus, while operating profit is within the range. Amazon remains well positioned to prosper from the shift toward e-commerce during the COVID-19 pandemic (with particular strength in groceries and staples) in the near term, but also the secular shift toward e-commerce in the long term. We think results show the company can sustain strength even as the lockdowns ease, as management sees no slowdown in demand. We are again impressed by Amazon's earnings power as COVID-19 costs roll away and the company grows into its 50% fulfilment capacity expansion from 2020. We raise our fair value estimate to $4,200 per share from $4,000 based on results and guidance.

First-quarter revenue grew 44% (41% in constant currency) year over year to $108.5 billion, compared with FactSet consensus of $104.5 billion and guidance of $100 billion to $106 billion. Physical stores, which declined 16% year over year, was unsurprisingly the lone soft spot. The brightest area was other revenue, which includes advertising and grew 77% year over year, ahead of our model. We think advertising remains a very attractive option for marketers looking to access a vast audience. Relative to the first quarter in 2020, AWS grew 32% to $13.5 billion, thanks to robust cloud adoption. Online stores grew 44% to $52.9 billion, with groceries performing well per management. Third party grew 64% year over year, while subscription grew 36%.

Operating margin was 8.2%, compared with 5.3% a year ago and 4.6% at the midpoint of guidance. This includes $4 billion of COVID-19-related costs, while Amazon also opened additional data center capacity, which capped margins. We remain impressed by Amazon's margin performance and we expect strength to continue as COVID-19-related costs unwind throughout the year.

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Amazon.com Inc AMZN ★★★★ 1 Jun 2022 21:32, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Moat Trend™	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
2,433.68 USD 1 Jun 2022	3,850.00 USD 29 Apr 2022 03:59, UTC	0.63	1.22 USD Tril 1 Jun 2022	Wide	Stable	High	Exemplary	4 May 2022 05:00, UTC

Amazon Shares Look Increasingly Attractive Amid Tech Underperformance Year to Date; $4,000 FVE

Dan Romanoff, CPA, Senior Equity Analyst, 1 Apr 2021

We view shares of wide-moat Amazon as increasingly attractive in the recent sell-off related to growth-oriented technology stocks, and we highlight it among our top picks currently while reiterating our $4,000 fair value estimate. Our long-term investment case centers around Amazon's dominance in both e-commerce and public cloud services through Amazon Web Services (AWS) as well as its quiet strength in its unique advertising business.

Size and scale create selection and low prices, which draw in shoppers, which then draw in more vendors as third-party sellers in a virtuous circle. Amazon Prime offers benefits that make shopping on Amazon properties even more compelling for consumers while providing recurring cash flow. These factors have combined to create the only demand aggregator of substance in the United States. Given its Internet presence and the obvious fact that Amazon knows so much about its shoppers, the company's advertising business has grown rapidly. Like AWS, it grows faster than the corporate average and generates high margins, which also help fund various growth initiatives for the company more broadly. Amazon then created the public cloud service as it is understood today, and in doing so, also came to dominate through its AWS offering. AWS generates strong growth and high margins, giving Amazon the ability to expand its e-commerce footprint and invest in other areas of the business.

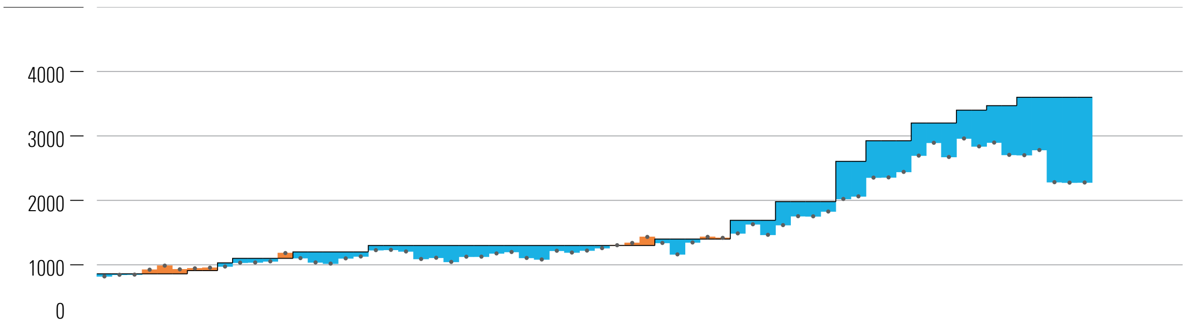
From a retail perspective, we expect continued innovation to help drive further share gains. We look for continued penetration into categories such as groceries, pharmacy, and luxury goods that have not previously translated into the same level of success as other retail categories. We also see technology advancements in AWS and a bigger push to service enterprise customers as helping to sustain the company's lead there. Overall, we see strong revenue and free cash flow growth for years to come.

Morningstar Equity Analyst Report | Report as of 1 Jun 2022 23:44, UTC | Reporting Currency: USD | Trading Currency: USD | Exchange: NASDAQ - ALL MARKETS

Amazon.com Inc AMZN ★★★★ 1 Jun 2022 21:32, UTC

Competitors Price vs. Fair Value

Alphabet Inc Class A GOOGL



Fair Value: 3,600.00
2 Feb 2022 04:18, UTC

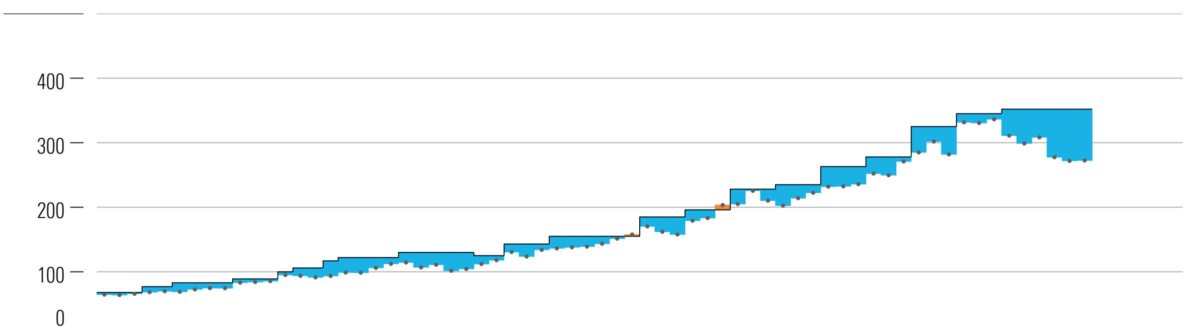
Last Close: 2,277.84
Over Valued
Under Valued

2017	2018	2019	2020	2021	YTD	
0.96	0.80	1.03	0.89	0.83	0.63	Price/Fair Value
32.93	-0.80	28.18	30.85	65.30	-21.37	Total Return %

Morningstar Rating

Total Return % as of 1 Jun 2022. Last Close as of 1 Jun 2022. Fair Value as of 2 Feb 2022 04:18, UTC.

Microsoft Corp MSFT

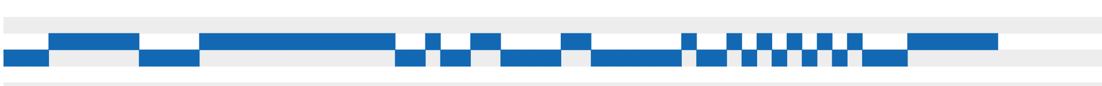


Fair Value: 352.00
26 Jan 2022 02:16, UTC

Last Close: 272.42
Over Valued
Under Valued

2017	2018	2019	2020	2021	YTD	
0.96	0.78	1.02	0.95	0.97	0.77	Price/Fair Value
40.22	20.75	57.12	42.37	52.24	-18.63	Total Return %

Morningstar Rating



Total Return % as of 1 Jun 2022. Last Close as of 1 Jun 2022. Fair Value as of 26 Jan 2022 02:16, UTC.

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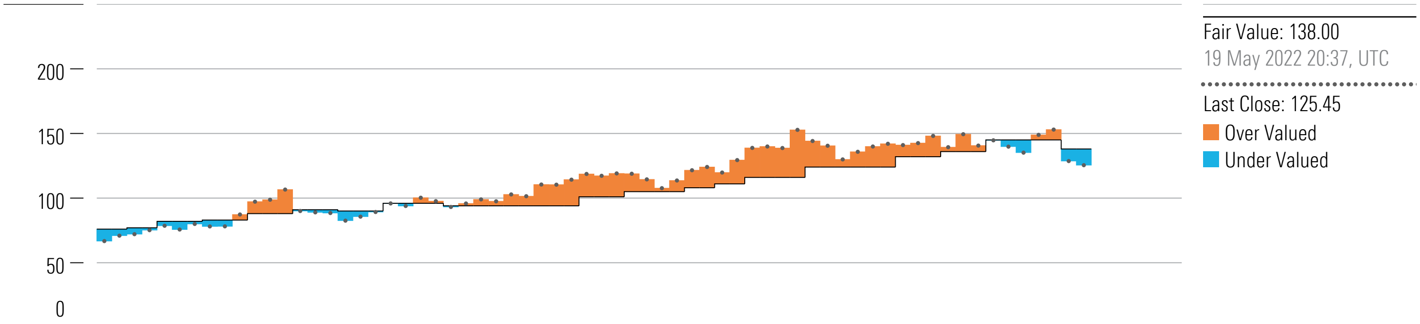
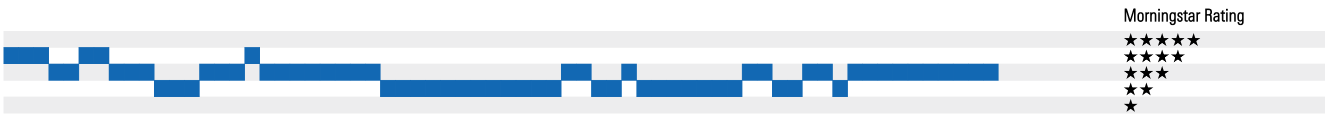
Amazon.com Inc AMZN ★★★★ 1 Jun 2022 21:32, UTC

Walmart Inc WMT



	2017	2018	2019	2020	2021	YTD	
	1.12	0.99	1.13	1.16	1.00	0.91	Price/Fair Value
	45.82	-3.56	29.86	23.12	1.90	-12.52	Total Return %



Total Return % as of 1 Jun 2022. Last Close as of 1 Jun 2022. Fair Value as of 19 May 2022 20:37, UTC.

Morningstar Equity Analyst Report | Report as of 1 Jun 2022 23:44, UTC | Reporting Currency: USD | Trading Currency: USD | Exchange: NASDAQ - ALL MARKETS

Amazon.com Inc AMZN ★★★★ 1 Jun 2022 21:32, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Moat Trend™	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
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Morningstar Historical Summary

Financials as of 31 Mar 2022

Fiscal Year, ends 31 Dec	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	YTD	TTM
Revenue (USD Bil)	61	74	89	107	136	178	233	281	386	470	116	478
Revenue Growth %	27.1	21.9	19.5	20.3	27.1	30.8	30.9	20.5	37.6	21.7	7.3	14.0
EBITDA (USD Bil)	2.80	3.90	4.85	8.31	12.49	16.13	28.02	37.37	51.08	74.26	4.19	60.27
EBITDA Margin %	4.6	5.2	5.4	7.8	9.2	9.1	12.0	13.3	13.2	15.8	3.6	12.6
Operating Income (USD Bil)	0.68	0.75	0.18	2.23	4.19	4.11	12.42	14.54	22.90	24.88	3.67	19.68
Operating Margin %	1.1	1.0	0.2	2.1	3.1	2.3	5.3	5.2	5.9	5.3	3.2	4.1
Net Income (USD Bil)	-0.04	0.27	-0.24	0.60	2.37	3.03	10.07	11.59	21.33	33.36	-3.84	21.41
Net Margin %	-0.1	0.4	-0.3	0.6	1.7	1.7	4.3	4.1	5.5	7.1	-3.3	4.5
Diluted Shares Outstanding (Mil)	453	465	462	477	484	493	500	504	510	515	509	514
Diluted Earnings Per Share (USD)	-0.09	0.59	-0.52	1.25	4.90	6.15	20.14	23.01	41.83	64.81	-7.56	41.46
Dividends Per Share (USD)	—	—	—	—	—	—	—	—	—	—	—	—

Valuation as of 31 May 2022

	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	Recent Qtr	TTM
Price/Sales	1.9	2.6	1.7	3.2	2.8	3.6	3.4	3.5	4.8	3.7	3.6	2.6
Price/Earnings	-2,500.0	1,428.6	-666.7	909.1	172.4	294.1	84.0	82.0	95.2	65.4	50.3	58.1
Price/Cash Flow	27.2	37.0	25.2	32.6	24.8	35.3	28.1	26.2	29.9	31.3	36.2	31.4
Dividend Yield %	—	—	—	—	—	—	—	—	—	—	—	—
Price/Book	13.9	20.2	14.0	25.6	20.1	22.9	18.8	16.3	19.8	14.1	12.0	9.1
EV/EBITDA	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0

Operating Performance / Profitability as of 31 Mar 2022

Fiscal Year, ends 31 Dec	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	YTD	TTM
ROA %	-0.1	0.8	-0.5	1.0	3.2	2.8	6.9	6.0	7.8	9.0	-0.9	5.8
ROE %	-0.5	3.1	-2.4	4.9	14.5	12.9	28.3	22.0	27.4	28.8	-2.8	18.1
ROIC %	-0.1	2.6	-0.7	3.3	8.4	7.1	15.4	12.1	14.7	16.0	-1.4	10.5
Asset Turnover	2.1	2.0	1.9	1.8	1.8	1.7	1.6	1.4	1.4	1.3	0.3	1.3

Financial Leverage

Fiscal Year, ends 31 Dec	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	Recent Qtr	TTM
Debt/Capital %	31.9	34.7	53.8	51.4	44.1	57.8	43.2	50.5	47.5	45.7	45.8	—
Equity/Assets %	25.2	24.3	19.7	20.7	23.1	21.1	26.8	27.6	29.1	32.9	32.6	—
Total Debt/EBITDA	1.4	1.3	2.6	1.7	1.2	2.4	1.2	1.7	1.7	1.6	27.1	—
EBITDA/Interest Expense	30.4	27.6	23.3	18.1	25.8	19.0	19.8	23.4	31.0	41.0	8.8	32.0

Morningstar Analyst Historical/Forecast Summary as of 28 Apr 2022

Financials

Fiscal Year, ends 31 Dec	2020	2021	Estimates 2022	2023	2024
Revenue (USD Bil)	386	470	528	613	705
Revenue Growth %	37.6	21.7	12.3	16.2	15.0
EBITDA (USD Bil)	57	72	47	58	73
EBITDA Margin %	14.9	15.3	8.9	9.4	10.4
Operating Income (USD)	22.90	24.88	8.56	16.60	26.57
Operating Margin %	5.9	5.3	1.6	2.7	3.8
Net Income (USD)	21.33	33.36	0.62	13.69	21.55
Net Margin %	5.5	7.1	0.1	2.2	3.1
Diluted Shares Outstanding (Mil)	510	515	517	521	523
Diluted Earnings Per Share(USD)	41.83	64.81	1.19	26.28	41.22
Dividends Per Share(USD)	0.00	0.00	0.00	0.00	0.00

Forward Valuation

	2020	2021	Estimates 2022	2023	2024
Price/Sales	4.2	3.6	2.3	2.0	1.8
Price/Earnings	77.9	51.4	2,045.1	92.6	59.0
Price/Cash Flow	63.2	-115.3	98.2	36.5	25.4
Dividend Yield %	—	—	—	—	—
Price/Book	—	—	—	—	—
EV/EBITDA	28.8	24.1	27.3	22.3	17.5

Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

To assess the sustainability of excess profits, analysts perform ongoing assessments of the moat trend. A firm's moat trend is positive in cases where we think its sources of competitive advantage are growing stronger; stable where we don't anticipate changes to competitive advantages over the next several years; or negative when we see signs of deterioration.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

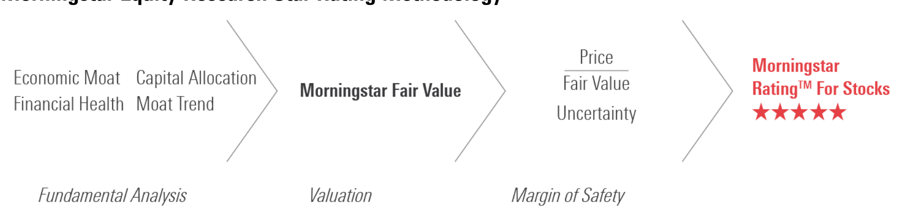
Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating captures a range of likely potential intrinsic values for a company and uses it to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating represents the analysts' ability to

Morningstar Equity Research Star Rating Methodology



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Research Methodology for Valuing Companies

bound the estimated value of the shares in a company around the Fair Value Estimate, based on the characteristics of the business underlying the stock, including operating and financial leverage, sales sensitivity to the overall economy, product concentration, pricing power, exposure to material ESG risks, and other company-specific factors.

Analysts consider at least two scenarios in addition to their base case: a bull case and a bear case. Assumptions are chosen such that the analyst believes there is a 25% probability that the company will perform better than the bull case, and a 25% probability that the company will perform worse than the bear case. The distance between the bull and bear cases is an important indicator of the uncertainty underlying the fair value estimate. In cases where there is less than a 25% probability of an event, but where the event could result in a material decline in value, analysts may adjust the uncertainty rating to reflect the increased risk. Analysts may also make a fair value adjustment to reflect the impact of this event.

Our recommended margin of safety widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the estimated value of the equity, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the uncertainty rating provides guidance in portfolio construction based on risk tolerance.

Our uncertainty ratings for our qualitative analysis are low, medium, high, very high, and extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

4. Market Price

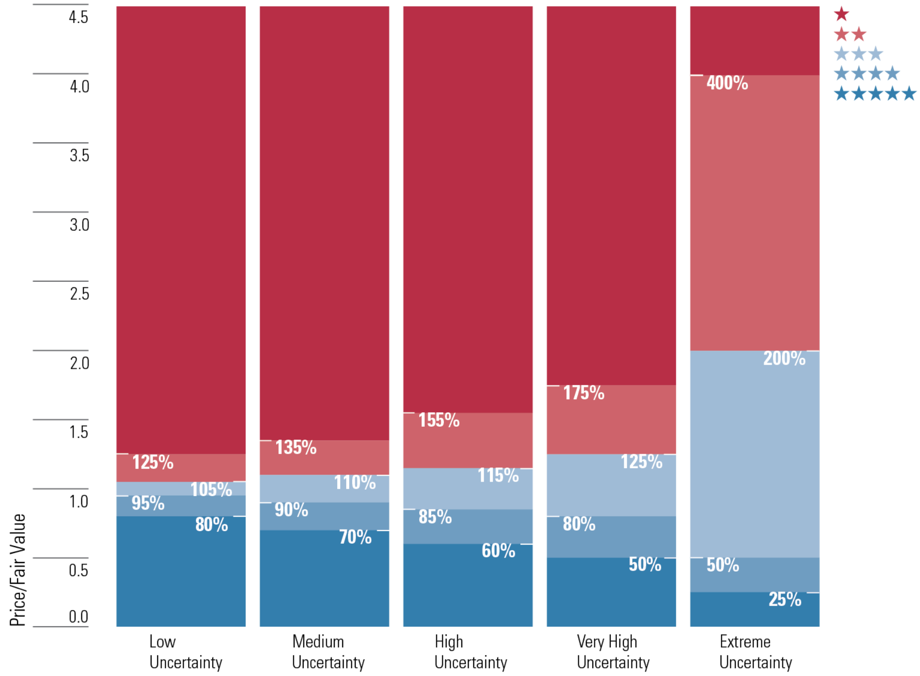
The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com.

Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Morningstar Equity Research Star Rating Methodology



Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exem-

Research Methodology for Valuing Companies

plary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

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